Costs and Budgets

Jen and Alice café

Scenario

Jen & Alice run a café and wish to understand the profit they are making on coffee sales.
They will utilise this information to prepare a budget for the forthcoming months.
They are also curious whether the sales price is reasonable but are unsure how to calculate this, and how this interacts with a budget.

You have been provided with the following extract for the month of September.

	Monthly September		
Cost	**£**		
Coffee	50	£5 per 1kg drum	1kg makes approx 555 mugs coffee
Sugar	10		
Coffee syrup	30		
Barrista wages	3750		
Electricity for machines	40		
Electricity for café	60		
Rent	500		
Managers wage	3600		
Milk	30		
	8070		
Sales income	8400		Currently average of £2.80 per cup x 3000 cups

Required:

1. Calculate the following for a cup of coffee:
   - i Direct costs per cup
   - ii Gross profit per cup
   - iii Indirect costs per cup
   - iv Total costs per cup
   - v Net profit per cup

2. Calculate the sales price using the following methods:
   - i Market pricing
   - ii Margin based pricing
   - iii Mark up based pricing

3. Comment on the current sales price of a cup of coffee